

market of 2000 to 2003. During both of those periods, many investors both young and old who thought they had the tolerance to handle 100 percent in stocks did not finish with 100 percent in stocks. They reduced their position in the middle or end of the bear market, thereby locking in losses.

2. When stocks fall in value, investors should take that opportunity to buy more stocks. A 100 percent stock portfolio precludes this from happening. A 20 percent bond allocation will allow stocks to be purchased in a down market.

It is interesting to note that a misunderstanding of risk causes many early savers to not have enough equity in their portfolio and miss the potential for higher return. According to data available from the TIAA-CREF Institute, a surprisingly high percentage of young workers invest a significant portion of their self-directed employer pension assets in the low-interest-bearing fixed accounts.¹ As people progress into midlife, they seem to have a better understanding of their tolerance for risk and increase their equity exposure.

There is no one-size-fits-all asset allocation that early savers should use. [Figure 12-2](#) highlights appropriate allocations for young investors who have some understanding of financial risk. [Figure 12-2](#) represents an “either-or” allocation, not a “to-from” allocation. In other words, an investor chooses a fixed allocation of between 60 and 80 percent in stocks and stays with that fixed target. Investors should not be moving from 60 percent to 80 percent and back again based on their perception of market risk.

An appropriate median asset allocation for young people is about 70 percent in stocks and 30 percent in fixed income. The 70 percent stock and 30 percent fixed-income allocation provides significant risk reduction over a 100 percent stock portfolio and allows room for rebalancing. The result is a portfolio with acceptable risk that has the potential for gratifying long-term returns.

FIGURE 12-2

Early Savers Allocation Range